



minimise the loss. One needs to not only diversify within asset classes but also across different assets. A portfolio of equity stocks can be diversified by limiting an individual stock exposure to around 10 per cent and an industry exposure to around 20 per cent. Similarly, all the wealth should not be put into one asset class only; it could be distributed between stocks, bonds, real estate, gold, mutual funds, etc. The idea is that a loss in one asset could be offset by a gain in another. So you are less likely to react emotionally and act foolishly on impulse. As discussed earlier, taking an overall view of your portfolio helps you to avoid loss aversion traps.

Total Portfolio Vision

We must avoid looking at gains and losses in isolation. We must train ourselves to look at individual investments as a part of the whole portfolio. This requires discipline. You could put your information reports on a spreadsheet to get the big picture. Secondly, it is important to have a solid investment philosophy and a strategy in place. It's best to put the investment plan down on paper. For example, suppose you take an asset allocation approach. Determine the portion of the portfolio to be invested in stocks, bonds, real estate, etc. Write down the rationale behind each investment particularly if it is stocks. Writing it down increases your commitment to follow the course. In fact it is a way of using sunk cost fallacy to your advantage because you are committing yourself to the plan and will stick by it. When you identify your goals and justify all your investments in the context of achieving those goals you are less likely to react to the ups and downs of the markets.

Let Bygones be Bygones

Very often our decisions are weighted down by our past actions. It is best to forget the past but that is easier said than done. If financially you can let bygones be bygones you will be that much better off for trying. For example, suppose you are debating the sale of an investment. Your goal should be maximisation of wealth, not justifying your purchase. What is important is the worth of the investment today. You need to evaluate the investment based on its current potential for future gain or future loss. One way of